

Multiple Choice (10 marks)

1. The real interest rate is
 - (a) what one sees when looking at bank literature
 - (b) the nominal interest rate divided by the inflation rate
 - (c) the nominal interest rate plus the anticipated inflation rate
 - (d) the nominal interest rate minus anticipated inflation
2. Recessions
 - (a) are a thing of the past.
 - (b) are very severe depressions.
 - (c) are marked by a sustained decline in output.
 - (d) are regular occurrences in capitalist economies.
3. An American firm moves a manufacturing plant from the United States to Brazil. How will this affect gross domestic product (GDP) in the United States and in Brazil?
 - (a) U.S. GDP falls and Brazil's GDP falls.
 - (b) U.S. GDP rises and Brazil's GDP falls.
 - (c) U.S. GDP falls and Brazil's GDP remains constant.
 - (d) U.S. GDP falls and Brazil's GDP rises.
4. According to Monetarist theory
 - (a) the FED should actively conduct monetary policy.
 - (b) changes in the money supply do not have significant effects.
 - (c) fiscal policy is the preferred way of shifting the aggregate demand curve.
 - (d) the FED should allow the money supply to grow at a constant rate.
5. Which of the following is a consequence of removal of a protective tariff on imported steel?
 - (a) Imports fall.
 - (b) Income is transferred from steel consumers to domestic steel producers.
 - (c) Income is transferred from foreign steel producers to domestic steel producers.
 - (d) Allocative efficiency is improved.

True / False (10 marks)

Answer True or False

6. True or False: The velocity of money is the number of times a typical dollar is used to make a purchase in a year.
7. True or False: A more restrictive immigration policy typically supports faster rates of economic growth by increasing job opportunities.
8. True or False: The money supply in the United States is backed by gold reserves.
9. True or False: The U.S. dollar has appreciated because the euro is now more expensive in dollars.
10. True or False: In the short run, the shut down price is equal to the minimum point on average total cost.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how the government can address positive externalities in the production of private goods, particularly through subsidies, and analyze the potential effects on market efficiency.
12. Discuss how government actions aimed at reducing pollution from a steel company could influence market equilibrium price and output, and explain the economic implications of these changes.

End of Paper